

MCDONALD'S CORPORATION

(NYSE: MCD)

The Finest Restaurant Machine Ever Built, at a Flawless Multiple

REDUCE — \$122.00 Target

Equity Research Note · Consumer Discretionary — Restaurants · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
REDUCE	\$122.00	\$231.89	-47.4%	Medium

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$164.1 bn (707.6 mn sh x \$231.89)	Franchised mix	>95% of restaurants
Net debt	~\$53.8 bn (buyback-funded balance sheet)	Operating margin	~45%
52-week range	~\$229.61 - \$341.75	Next catalyst	Q4'26 comparable sales / guest-count data
Systemwide sales	>\$130 bn across 40,000+ restaurants		

1 Investment Thesis

McDonald's operates the finest franchised restaurant machine ever built: more than 40,000 restaurants in 100-plus countries, over 95% franchised, with rent and royalties converting franchisee sales into one of the most reliable cash streams in consumer staples. We do not dispute the quality of the business. We dispute the price. At \$231.89, the market values McDonald's as though the comparable-sales machine never misses and the multiple never compresses. Our scenario work puts probability-weighted fair value at \$122.00 — 47% below the current price.

Our concern is the growing gap between the narrative and the traffic data. US guest counts have been soft even as menu prices carried comparable sales, and cumulative price increases have damaged the brand's core value perception — the exact attribute that made McDonald's recession-resilient in prior cycles. Franchisees, squeezed by labor costs and remodel capital requirements, are pushing back on corporate initiatives, which constrains the reinvestment the system needs. Meanwhile the rise of GLP-1 weight-loss drugs represents a genuine structural headwind to quick-service occasions that the market has barely begun to price.

McDonald's deserves a premium multiple; it does not deserve a flawless one. Our base case assumes the brand endures and grows — low-single-digit systemwide sales growth, margins intact — but values that durable cash flow at a multiple appropriate for a mature, slowing compounder rather than a growth stock. History supports the discipline: McDonald's traded at 14-18x earnings for most of the 2010s while compounding beautifully; the rerating toward the mid-20s coincided with the market's discovery of quality compounders as a factor, not with any acceleration in the business. Factors mean-revert. Our \$122 target embeds a 14x multiple on normalized earnings — a multiple at which McDonald's was a wonderful investment for decades, and a multiple the current price has forgotten.

The earnings bridge matters: our normalized ~\$8-9 of earnings power assumes operating income roughly flat to slightly down from current levels with continued buybacks — a genuinely mild assumption. The entire downside comes from the multiple: ~25x to 14x. Multiple compression of this magnitude has precedent — McDonald's derated similarly in 2008-2009 and 2015-2016 — and in each case the business recovered while shareholders waited years for the price to follow. We are not predicting business failure; we are predicting multiple normalization, which for shareholders is nearly as painful.

Why the derating is a when, not an if

- **Traffic, not check, is the missing ingredient.** The easy comp gains from delivery expansion and digital adoption are largely harvested; from here, growth must come from guest counts, which is the hardest kind. Management will lean on value platforms to win back traffic, but genuine value costs margin — the company's or the franchisee's — and neither is free.
- **GLP-1 is a structural demand headwind hiding in plain sight.** Adoption is already measurable in food-away-from-home occasions, and McDonald's over-indexes to the frequency occasions most at risk. The market prices this at roughly zero.
- **Buybacks at 25x earnings destroy value.** The machine is optimized for perpetual 5%-plus comps: when comps slow there is no corporate volume lever to pull, and repurchasing shares at a flawless multiple transfers value from continuing shareholders to sellers.

2 Business Overview — What McDonald's Corporation Is Doing

(Chicago, Illinois)

McDonald's Corporation, headquartered in Chicago, is the world's largest restaurant chain by revenue, with systemwide sales exceeding \$130 billion across more than 40,000 locations. The company's economics are those of a franchisor and landlord: franchisees pay royalties (roughly 4-5% of sales) plus rent on company-owned real estate, producing operating margins near 45% and extraordinary returns on invested capital. International markets — including the refranchised China business — and the US company-operated base round out the footprint. The 'Accelerating the Arches' strategy centers on digital, delivery, drive-thru, and menu core equities.

The financial architecture is what makes McDonald's special — and what makes the current price dangerous. With 45% operating margins and minimal corporate capex (franchisees fund the restaurants), nearly every incremental dollar of systemwide sales drops to free cash flow, which funds one of the market's most aggressive buyback programs. But this cuts both ways: when comparable sales slow, there is no volume lever at the corporate level to pull, and buybacks at 25x earnings destroy value rather than create it.

What the company is doing now

- **The franchisor model is a shock absorber with limits.** McDonald's collects rent and royalties off the top, which insulates corporate earnings — until franchisee cash flow deteriorates enough to slow development, remodels, and technology adoption. Operators are publicly pushing back on discount programs they must fund; development timelines are stretching.
- **International was the 2010s growth story; we model it as a contributor at best.** The China business faces a consumer slowdown and ferocious local competition; the operated markets face the same value-perception issues as the US, compounded by persistent traffic shocks in the Middle East.
- **Net income has flatlined while the multiple expanded.** Net income of \$8.56 billion in FY2025 is essentially unchanged from \$8.47 billion in FY2023 — two years of multiple expansion with no earnings growth behind it.

3 Financial Analysis

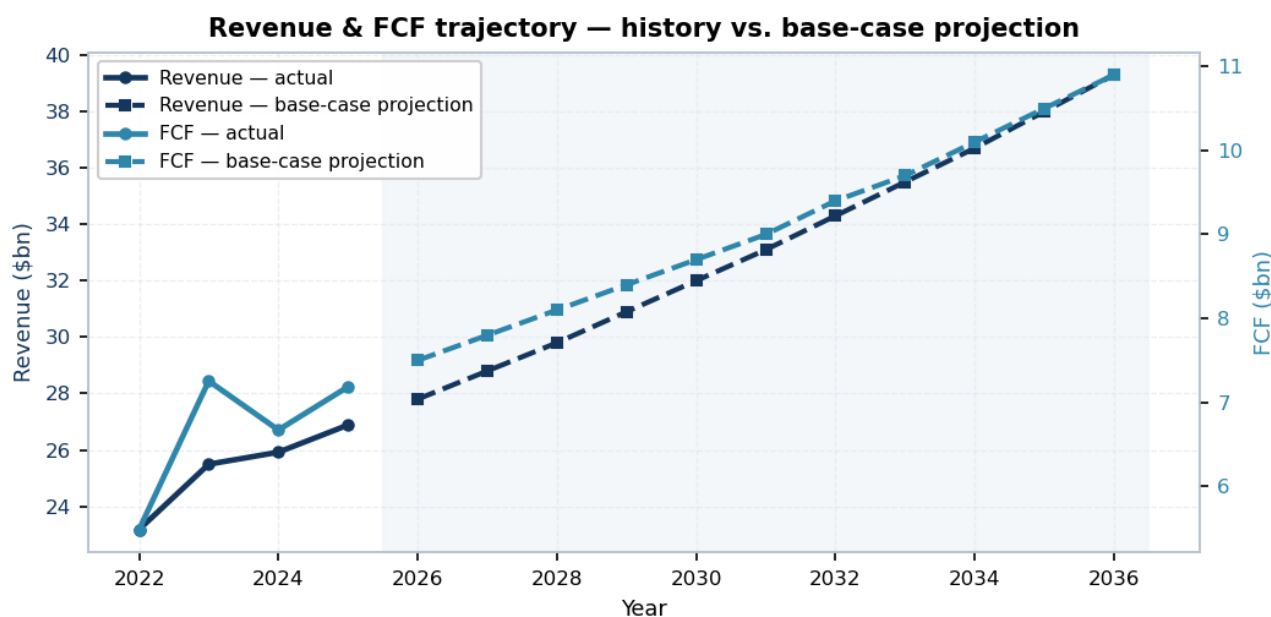
\$ bn	FY2023	FY2024	FY2025
Revenue	25.495	25.920	26.885
Free cash flow	7.255	6.672	7.186
Net income	8.469	8.223	8.563

Source: company filings via yfinance; fiscal year ends Dec 31.

Revenue grew from \$23.2 billion in FY2022 to \$26.9 billion in FY2025 — steady, but decelerating — while free cash flow of \$7.2 billion in FY2025 sits below the \$7.3 billion printed in FY2023. Net income has been essentially flat for two years. The business is not deteriorating; it is maturing, and the price has not noticed.

The balance sheet carries ~\$53.8 billion of net debt, the legacy of a decade of debt-funded buybacks. At current earnings this is serviceable — the franchise generates enormous cash — but it means the equity's downside in a derating is amplified: buybacks that once lifted EPS at 15x now defend it at 25x.

Revenue & cash-flow trajectory

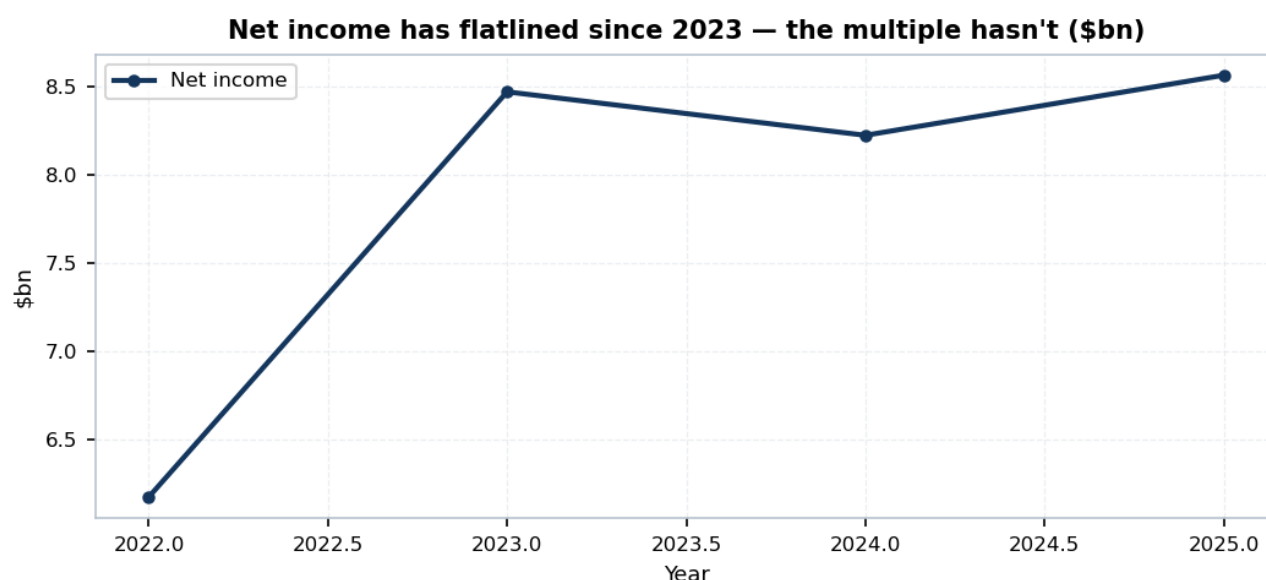


History: company filings via yfinance (FY ends Dec 31). Projection: base-case path from this note's scenario model — low-single-digit systemwide sales growth, margins intact.

4 Moat & Competition

- **The brand is the moat, and it is dented, not broken.** McDonald's remains the default quick-service choice globally; cumulative price increases have damaged value perception — the moat's load-bearing wall — but the brand's convenience and consistency advantages are intact.
- **Real estate and franchise economics.** Ownership of prime locations plus rent-and-royalty economics produce 45% operating margins that no competitor replicates at this scale. This is why the business deserves a premium multiple — just not a flawless one.
- **Scale in procurement and marketing.** The system's purchasing power and advertising fund are structural cost advantages over every quick-service competitor.
- **The moat does not protect the multiple.** Wide moats command premium multiples, not infinite ones. At 14-18x earnings McDonald's was a wonderful investment for decades; the moat did not change when the multiple went to the mid-20s.

Net income has flatlined since 2023 — the multiple hasn't (\$bn)



5 Valuation — 10-year scenario DCF, Fair Value \$122

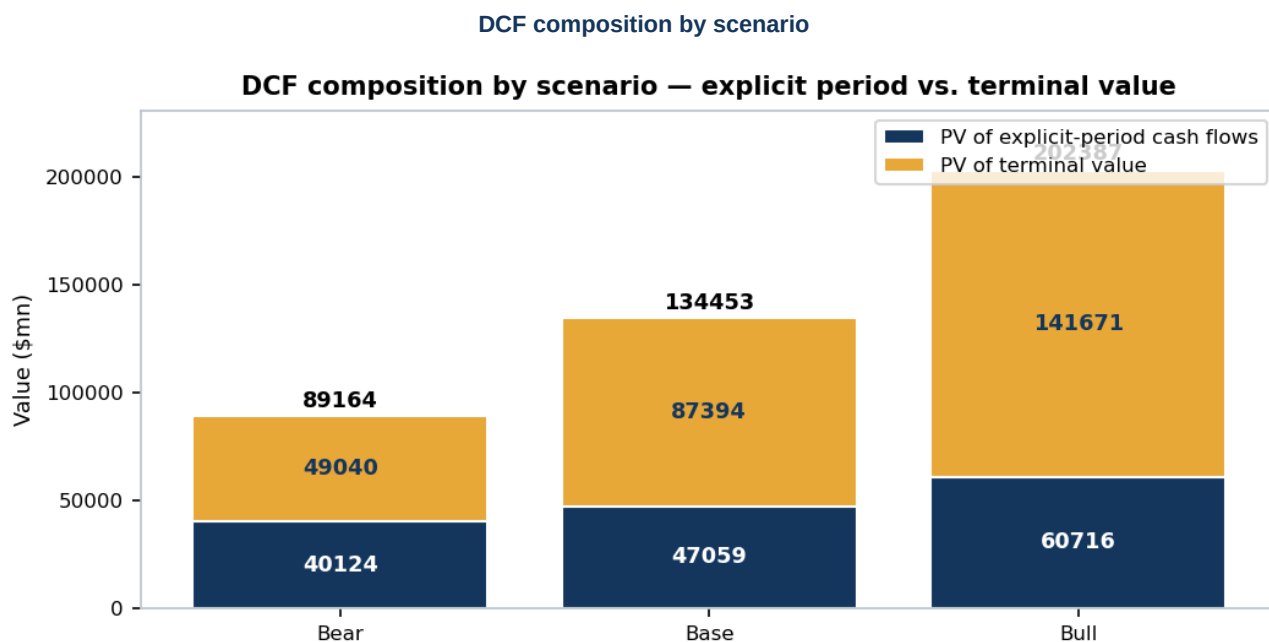
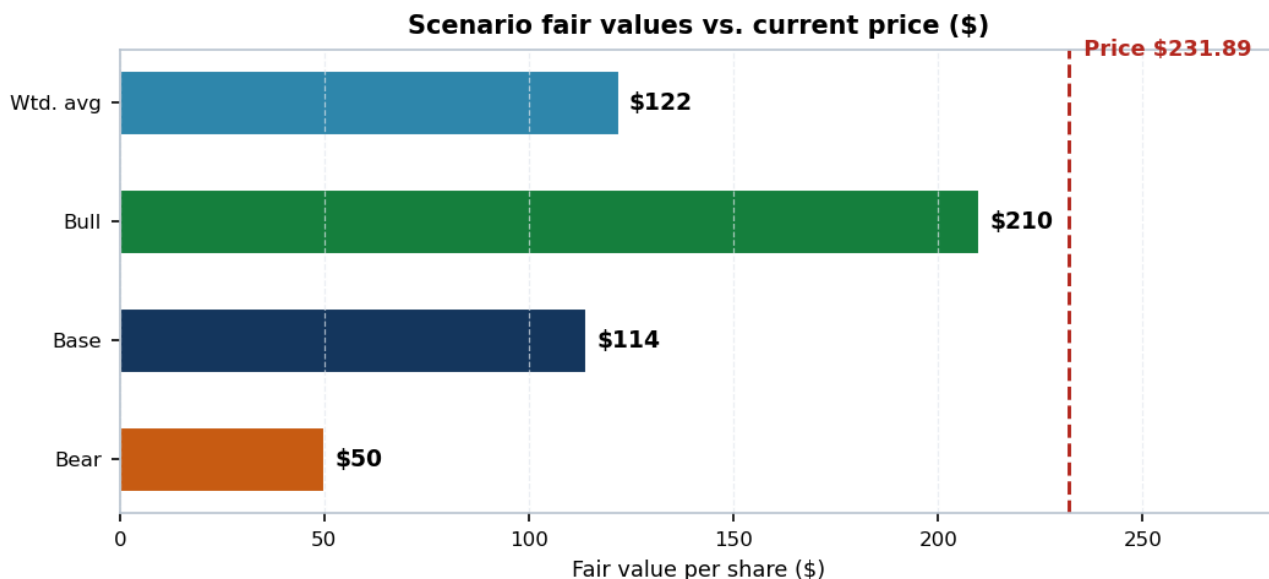
We value McDonald's on a probability-weighted scenario DCF at a 9% base discount rate, appropriate for a stable franchise (bear +250bp at 11.5%, bull floored at 8.0%). Terminal growth is 1.5% / 2.0% / 2.5% on normalized mid-cycle cash flows. This is a multiple call on a great business, not a business-quality call.

In the bear case, US traffic declines persist, GLP-1 adoption accelerates, and international softness deepens; normalized earnings power settles lower and the multiple compresses toward 12x, implying value well below \$100. In the base case, the brand stabilizes and a 14x multiple — fair for a mature, wide-moat compounder — gives value near our target. In the bull case, traffic recovers and digital drives mix, supporting value above \$200.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	US traffic declines persist; GLP-1 adoption accelerates; international softness deepens; earnings power settles near \$7/share at a 12x multiple	+1%	42%	11.5% / 1.5%	55%	\$50.00
Base	Brand stabilizes; low-single-digit systemwide sales growth; margins intact; 14x multiple on normalized earnings — fair for a mature compounder	+3%	45%	9.0% / 2.0%	65%	\$114.00
Bull	Traffic recovers; digital drives mix; \$12 of earnings power at an 18x multiple; international reaccelerates	+5%	47%	8.0% / 2.5%	70%	\$210.00
Wtd. avg	Probability-weighted (25/50/25) → \$122.00 target					\$122.00

Scenario FVs calibrated from the note's valuation ranges (bear: well below \$100; base: near target; bull: above \$200); $0.25 \times \$50 + 0.50 \times \$114 + 0.25 \times \$210 = \122.00 . Composition bars decompose each scenario's equity value (FV x 707.6 mn diluted shares, plus \$53.8 bn net debt) at the stated terminal-value shares.

Scenario fair values vs. current price (\$)



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$mn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **A US consumer downturn.** Would hit traffic just as value investments are raising costs — the classic QSR margin squeeze.
- **GLP-1 structural demand erosion.** Could reduce quick-service visit frequency beyond our assumptions; McDonald's over-indexes to at-risk frequency occasions.
- **Franchisee relations.** Cash-flow pressure could slow remodels and technology adoption, degrading the store base and eventually the royalty stream.
- **Food-safety incidents.** Have historically caused sharp, if temporary, traffic shocks.
- **FX and geopolitics.** Translation exposure and geopolitical risk across international markets.

What would change our mind

Upgrade on sustained positive US guest counts — not just average check — over four or more quarters, proving value perception is repaired; franchisee cash flow inflecting upward, evidenced by accelerating remodel and new-unit commitments; or credible data that the GLP-1 impact on QSR occasions is smaller than feared. A derating of the shares toward our \$122 fair value would also turn the risk/reward favorable.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.